Table A: Personal allowances and deductions

Year of assessment	2018/19	2019/20
Personal allowances	HK$	HK$
Basic	132,000	132,000
Married person's	264,000	264,000
Single parent	132,000	132,000
Child		
1st to 9th child (each)	120,000	120,000
Additional allowance in the year of birth (each)	120,000	120,000
Dependent parent/ grandparent (aged 60 or above or is eligible to claim an allowance under the Government's Disability Allowance Scheme)		
Basic	50,000	50,000
Additional (for dependant residing with taxpayer continuously throughout the whole year)	50,000	50,000
Dependent parent/ grandparent (aged 55 – 59)		
Basic	25,000	25,000
Additional (for dependant residing with taxpayer continuously throughout the whole year)	25,000	25,000
Dependent brother/ sister	37,500	37,500
Personal disability	75,000	75,000
Disabled dependant	75,000	75,000
Deductions/ Concessionary deductions	HK$	HK$
Self-education expenses	100,000	100,000
Home loan interest	100,000	100,000
Elderly residential care expenses	100,000	100,000
Contributions to recognised retirement schemes	18,000	18,000
Qualifying premiums paid under Voluntary Health Insurance Scheme Policy	-	8,000
Qualifying annuity premiums & tax deductible MPF voluntary contributions ("TVC")	-	60,000
Approved charitable donations	35%	35%

Depreciation allowances (For all years of assessment in this paper)		
Plant and machinery:	Initial allowance ("I.A.")	60%
	Annual allowance ("A.A.")	Given in question
Industrial building:	I.A.	20%
	A.A.	4%
Commercial building:	A.A.	4%

Table B: Tax rates

Year of assessment		
	2018/19*	2019/20*
Tax rates	**%**	**%**
Standard	15.0	15.0
Progressive		
HK$1 – HK$50,000	2.0	2.0
HK$50,001 – HK$100,000	6.0	6.0
HK$100,001 – HK$150,000	10.0	10.0
HK$150,001 – HK$200,000	14.0	14.0
Above HK$200,000	17.0	17.0
Corporation profits tax	16.5	16.5
Two-tiered profits tax rates		
First HK$2 million assessable profits		
Unincorporated businesses	7.5	7.5
Corporations	8.25	8.25
Over HK$2 million assessable profits		
Unincorporated businesses	15.0	15.0
Corporations	16.5	16.5

*100% of the final tax payable under profits tax, salaries tax, and tax under personal assessment would be waived, subject to a ceiling of HK$20,000 per case.

Table C: Stamp duty rates

Conveyance and Agreement for sale		
Ad Valorem Duty		
(marginal reliefs ignored)	**Scale 1**	**Scale 2**
Not exceeding HK$2,000,000	1.5%	HK$100
HK$2,000,001 to HK$3,000,000	3%	1.5%
HK$3,000,001 to HK$4,000,000	4.5%	2.25%
HK$4,000,001 to HK$6,000,000	6%	3%
HK$6,000,001 to HK$20,000,000	7.5%	3.75%
Exceeding HK$20,000,000	8.5%	4.25%
	From 5 November 2016	
For residential property	15%	(unless specifically exempted or provided otherwise)
Special Stamp Duty		
Holding period		
Not exceeding 6 months		20%
More than 6 months but 12 months or less		15%
More than 12 months but 36 months or less		10%
Buyer's Stamp Duty		15%
Lease		
Rent only:		
Not exceeding 1 year		0.25%
Not exceeding 3 years		0.5%
Exceeding 3 years		1%
Premium and rent:		
Premium part		4.25%
Rent part		same as rent only lease
Hong Kong Stock Transfer		
Contract notes		0.2%
Instrument of transfer		HK$5

Table D: Abbreviation

DIPN	Departmental Interpretation and Practice Notes
IRD	Inland Revenue Department
IRO	Inland Revenue Ordinance

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination. **For computational questions, show all your workings.**

Question 1 (26 marks – approximately 48 minutes)

Autumn Limited ("the Company") is incorporated and carrying on import and export business in Hong Kong. All its profits are sourced in Hong Kong. Mr and Mrs Fong are the directors of the Company. The Company does not have any connected entities in Hong Kong. It prepares its accounts to 31 March annually. The following is the Company's income statement for the year ended 31 March 2020:

		HK$	HK$
Gross profit			7,320,000
Interest income (Note 1)			14,000
Rental income (Note 2)			360,000
Profit on sale of a residential flat (Note 3)			3,000,000
			10,694,000
Less:	Auditor's fees	40,000	
	Salaries and allowances (Note 4)	4,760,000	
	Rent and rates (Note 5)	275,000	
	Annual contributions to MPF scheme (Note 6)	372,000	
	Selling and distribution expenses (Note 7)	628,000	
	Bad debts (Note 8)	190,000	
	Interest expenses (Note 9)	175,000	
	Profits tax paid	30,000	
	Legal fee (Note 10)	50,000	
	Repairs (Note 11)	330,000	
	Donations (Note 12)	400,000	
	Depreciation charged	320,000	
	Sundry expenses (all allowable)	280,000	(7,850,000)
Net profit			2,844,000

Notes:

		HK$
(1)	Interest received from German customers on overdue account	10,000
	Interest on a loan to a supplier in Hong Kong	3,000
	Interest on Tax Reserve Certificate	1,000
		14,000

(2) The Company owns a factory in Tai Po and it was let to a manufacturer for its manufacturing business. The Company purchased the factory in October 2013 and it was agreed that the qualifying expenditure for industrial building allowance in respect of the factory is HK$4,000,000 with residual value of HK$2,240,000 brought forward from the year of assessment 2018/19.

(3) The Company purchased a residential flat in April 2008 and it was agreed with the Inland Revenue Department that the residential flat was for capital investment.

		HK$
(4)	Mr Fong	960,000
	Mrs Fong	300,000
	Compensation to a retired employee for not competing with the Company's business for two years	500,000
	Other employees	3,000,000
		4,760,000

(5)	Rent for office	240,000
	Rates for office	20,000
	Rates for the factory in Tai Po	15,000
		275,000

The office is owned by Mr Fong. The market rent of the office for the year of assessment 2019/20 was HK$30,000 per month and Mr Fong had reported the rental income of HK$240,000 in his tax return.

		HK$
(6)	Mr Fong (20% of remuneration)	192,000
	Mrs Fong (10% of remuneration)	30,000
	Other employees (5% of remuneration)	150,000
		372,000

(7)	Repairs and licence fees for motor vehicles	170,000
	Fines for illegal parking	8,000
	Second-hand motor vehicle	80,000
	Car parking fees	120,000
	Gasoline	250,000
		628,000

(8)	Trade debts written off	140,000
	Loan to an ex-employee written off	50,000
		190,000

(9)	Interest on the bank loan from a bank in Hong Kong for purchasing the factory. The loan was secured by the factory.	120,000
	Interest on the director's loan for purchasing the factory	30,000
	Interest on bank overdraft facilities granted by a bank in Hong Kong for the Company's daily operation. No security was provided.	25,000
		175,000

(10)	Legal fee for recovery of trade debts	10,000
	Legal fee for selling the residential flat mentioned in Note (3)	40,000
		50,000

		HK$
(11)	Repairs of office premises	30,000
	Renovation expenditure of office premises	300,000
		330,000

(12) Cash donations to approved charitable organisations.

Other information:

(13) The assessor agreed that the Company was entitled to total depreciation allowances for plant and machinery of HK$374,000 for the year of assessment 2019/20.

Required:

(a) Calculate the amount of industrial building allowance available to Autumn Limited for the year of assessment 2019/20.

(2 marks)

(b) Calculate Autumn Limited's profits tax liability for the year of assessment 2019/20. Ignore provisional profits tax.

(18 marks)

(c) Analyse the tax treatment in respect of the following items:

(i) Loan to an ex-employee written off (Note 8); and

(3 marks)

(ii) Interest on the director's loan (Note 9).

(3 marks)

<u>Question 2</u> **(18 marks – approximately 32 minutes)**

Donald is a resident of Country X and working with Silver Inc ("Silver") for many years. Silver is incorporated and carrying on business in Country X. Starting from 1 April 2019, Donald was seconded to work as general manager of Gold Limited ("Gold") in Hong Kong. Gold is a wholly owned subsidiary of Silver. It is accepted that Donald's employment with Silver is located outside Hong Kong while his employment with Gold is a separate employment located in Hong Kong. There is no tax treaty signed between Hong Kong and Country X. You have been supplied with the following information regarding the year ended 31 March 2020:

(1) Salaries: HK$1,240,000.

(2) Commission: HK$900,000.

(3) Accommodation:
During 1 April 2019 to 31 May 2019, Gold provided accommodation of a two-room hotel suite to Donald. The monthly rent of HK$45,000 was paid by Gold. Starting from 1 June 2019, Donald was living in a residential flat rented by Gold. Gold paid a monthly rent of HK$40,000 to the landlord. During the year ended 31 March 2020, Gold deducted HK$4,000 per month from Donald's salaries to serve as rent for the accommodation.

(4) Provision of motor car:
Gold provided a motor car for Donald's use. The car was owned by Gold with a purchase cost of HK$300,000 and second-hand value of HK$100,000 as at 31 March 2020. Donald used the car for both business and personal purposes at a ratio of 70:30. During the year, Donald paid a total petrol cost of HK$48,000, which was fully reimbursed by Gold.

(5) Share option:
On 1 October 2018 while Donald was under employment with Silver, he was granted an unconditional option to purchase 200,000 shares of Silver at HK$3 each within two years. Donald paid HK$10,000 for the option on 1 October 2018 and exercised the option on 15 November 2019. Donald provided services in Hong Kong for 120 days during the year of assessment 2018/19. The market value per share was as follows:

1 October 2018	HK$5.00
15 November 2019	HK$6.70
31 March 2020	HK$5.70

Donald received dividends of HK$30,000 in respect of the shares on 30 March 2020.

(6) Holiday passage allowance:
Gold purchased a travel package of HK$77,000 for Donald and his wife's holiday in England in August 2019. The package included air ticket cost of HK$7,000 each and hotel accommodation and transportation of HK$63,000 for the couple. Donald personally spent HK$15,000 during the trip.

(7) It is agreed with the assessor that Donald is entitled to deduction of outgoings and expenses under s.12(1) of the IRO based on 10% of commission.

Other information:

(8) Donald paid the following expenses:

(i)	Contributions to registered retirement fund	HK$18,000
(ii)	Self-education expenses	HK$80,000

(9) Donald's wife is a housewife. They have a son aged 12 who is studying in Hong Kong.

Required:

(a) Calculate Donald's share option gain chargeable to salaries tax for the year of assessment 2019/20.

(4 marks)

(b) Calculate Donald's salaries tax payable for the year of assessment 2019/20. Ignore provisional salaries tax and tax reduction.

(11 marks)

(c) Analyse the salaries tax treatment in respect of the provision of the motor car as mentioned in Note (4).

(3 marks)

Question 3 **(9 marks – approximately 16 minutes)**

On 15 March 2021, Joe received a notice of additional salaries tax assessment for the year of assessment 2014/15 to assess his income from another employment which he had omitted to declare in his tax return. On 20 April 2021, he discovered that he had omitted to claim approved charitable donations of HK$10,000 in his 2014/15 tax return.

Assume today is 1 May 2021 and Joe approaches you for advice. He wonders whether the IRD has the power to raise assessment on his omitted income and whether he could claim the deduction of donations now.

Required:

(a) Explain to Joe the time limit for an assessor to raise an assessment or an additional assessment as provided under s.60 of the IRO. Analyse whether the 2014/15 additional salaries tax assessment issued to Joe is valid or not.

(3 marks)

(b) Analyse, with reference to the relevant provisions of the IRO, whether Joe can claim deduction of approved charitable donations of HK$10,000, and if so, the deadline for lodging the claim.

(6 marks)

Question 4 (9 marks – approximately 16 minutes)

Sam and Nancy are husband and wife, and they are ordinary residents of Hong Kong. They are living together and own another two properties under their names respectively. You have been supplied with the following information regarding the year ended 31 March 2020:

		Sam HK$	Nancy HK$
Income			
(1)	Rental income from a solely owned property in Hong Kong	240,000	300,000
(2)	Hong Kong employment income	900,000	–
(3)	Assessable profit from sole-proprietorship business in Hong Kong	420,000	–
(4)	Share of loss from a partnership business in Hong Kong	(200,000)	–
Expenditure			
(5)	Mortgage loan interest for solely owned property above	(110,000)	(20,000)
(6)	Rates of letting the property above	(9,000)	–
(7)	Mandatory contributions to MPF scheme	(18,000)	–
(8)	Approved charitable donations*	(300,000)	(10,000)

*Sam has claimed and been allowed the approved charitable donations of HK$100,000 in his sole-proprietorship business under profits tax. The balance is claimed under salaries tax.

Other information:

(9) Nancy is a housewife. Other than the rental income from her solely owned property, she has no other income chargeable to Hong Kong tax during the year of assessment 2019/20.

(10) Only Sam elected for personal assessment for the year of assessment 2019/20.

(11) Sam and Nancy do not have any other dependant.

Required:

(a) Calculate the amount of tax payable in Hong Kong by Nancy for the year of assessment 2019/20, and specify the nature of tax to be demanded from her. Ignore any provisional tax.

(3 marks)

(b) Calculate Sam's net chargeable income under personal assessment for the year of assessment 2019/20.

(6 marks)

Question 5 **(9 marks – approximately 16 minutes)**

Top Limited ("the Company") is incorporated and carrying on a manufacturing business of metal products in Hong Kong. It prepares its accounts to 31 March each year. You have been supplied with the following information regarding the Company's movement of assets for the year ended 31 March 2020:

(1) The tax written down values of plant and machinery brought forward from the year of assessment 2018/19 are as follows:

20% pool:	HK$3,240
30% pool:	HK$10,230
Motor vehicle X under hire purchase:	HK$12,200

The last instalment for motor vehicle X was fully paid in October 2018.

(2) The Company purchased and sold the following assets:

Purchased:

Furniture and fixture (A.A.:20%)	HK$180,000
Motor vehicle Y (A.A.:30%)	HK$280,000
Machine E (A.A.:30%)	HK$150,000
Environment-friendly vehicle (A.A.:30%)	HK$300,000

Disposal:

Furniture and fixture (A.A.:20%) for HK$80,000 (original cost: HK$200,000)
Machine A (A.A.:30%) for HK$50,000 (original cost: HK$200,000)

(3) On 1 November 2019, the Company purchased Machine F (A.A.:30%) under the following hire purchase terms:

Cash price	HK$240,000
Downpayment	(HK$40,000)
Balance	HK$200,000

Balance payable by 20 monthly instalments of HK$11,000 each, starting from 1 December 2019.

All the machines are used specifically and directly for its manufacturing process. The cost of Machine A had fully been allowed in the year of purchase.

Required:

Based on the above information, calculate the total amount of deductions in respect of the above assets (including the hire purchase interests) available to Top Limited for the year of assessment 2019/20.

(9 marks)

Question 6 **(9 marks – approximately 16 minutes)**

On 15 October 2020, Tom executed an agreement for sale and purchase to purchase a residential property ("the Property") in Hong Kong for HK$10,000,000 from George. George purchased the Property in September 2018.

On 1 December 2020, May, Tom's wife, was included in the conveyance on sale as the joint owner. On the date of assignment, the value of the Property was HK$11,000,000.

Tom is a Hong Kong permanent resident and May is not a Hong Kong permanent resident. Tom and May did not own any residential property in Hong Kong and they acted on their own behalf in the purchase of the Property. Tom and George are not relatives.

Required:

Analyse, with reference to the relevant provisions under the Stamp Duty Ordinance, whether ad valorem duty, special stamp duty, and buyer's stamp duty are payable on the agreement for sale and purchase and conveyance on sale respectively. If so, calculate the respective amounts payable.

(9 marks)

* * * END OF EXAMINATION PAPER * * *